

9.1 INTRODUCTION

Based on end user, the global microbiome sequencing services market is segmented into pharmaceutical and biotechnology companies, academic and research institutes, and other end users (including small-scale CROs, CDMOs, hospitals, and clinics). The academic and research institutes segment accounted for the largest market share of 45.0% in 2022. This can be attributed to the high adoption of microbiome sequencing services and clinical research in these facilities.

TABLE 71 MICROBIOME SEQUENCING SERVICES MARKET, BY END USER, 2021–2028 (USD MILLION)

End User	2021	2022	2023	2024	2025	2026	2027	2028	CAGR (2023–2028)
Pharmaceutical and Biotechnology Companies	70.17	80.20	91.62	104.76	119.89	137.69	158.69	183.68	14.9%
Academic and Research Institutes	99.25	112.66	127.82	145.15	164.97	188.15	215.34	247.53	14.1%
Other End Users	50.62	57.31	64.87	73.48	83.30	94.76	108.18	124.03	13.8%
Total	220.03	250.17	284.31	323.39	368.16	420.61	482.21	555.24	14.3%

Source: National Human Genome Research Institute (NHGRI), National Center for Biotechnology Information (NCBI), Genomics Research and Development Initiative (GRDI), UK Research and Innovation (UKRI), Microbiome Foundation, Centre for Genomic Regulation (CRG), Human MetaGenome Consortium Japan (HMGJ), Microbiome Research Centre (MRC), Center of Innovation in Personalized Medicine (CIPM), Department of Biotechnology (GENOME India and Microbiome), South African Society for Human Genetics, Food and Drug Administration (FDA), Annual Reports, SEC Filings, Investor Presentations, and MarketsandMarkets Analysis

9.2 PHARMACEUTICAL AND BIOTECHNOLOGY COMPANIES

9.2.1 ROBUST FUNDING FOR MICROBIOME-BASED THERAPEUTICS TO DRIVE MARKET

This segment is inclusive of the application of microbiome sequencing services in drug discovery, development, and clinical diagnostics. The microbiota plays an important role in the efficacy of therapeutic compounds in drug discovery. Many therapeutic compounds are processed by the catalytic functions of enzymes encoded by mammalian symbiotic bacteria. The unique nature of the human gut microbiome offers a new source of biomarkers to distinguish between patients' physiology and diseases for enhancement in personalized medicine.

Several diseases and conditions, such as diabetes, obesity, cancer, and autoimmune disorders, have been proposed to be treatable with the help of microbiome-based products. Several animal studies, preliminary human studies, uncontrolled studies, and anecdotal observations have shown positive results for these products. For instance, human trials indicating *Lactobacillus* GG may be useful in alleviating joint pains among rheumatoid arthritis (an autoimmune disease) patients. In addition, there are several animal studies that show that probiotics inhibit the initiation or progression of colon and bladder cancers. Furthermore, in vitro, cell culture, and animal studies have indicated that probiotics bind and prevent the absorption of aflatoxins, which have been associated with the occurrence of liver cancer in humans. This has created a significant demand for microbiome sequencing services among pharmaceutical and biotechnology companies.

The availability of funding for research is a key factor driving market growth, considering the rising pace of activity in this field. In the last five years, the NIH has extended funding of around USD 58.3 million to boost research in the human microbiome area, including funding for developing vaccines and devices. Of this, USD 49.0 million was marked for developing therapeutic products like prebiotics, probiotics, and dietary supplements and microbiome-based novel antimicrobials (Source: NIH).

Recent developments in this market include:

- The Frontiers in Microbiology Journal article titled 'Key Technologies for Progressing Discovery of Microbiome-based Medicines,' published in June 2021, reported that human gastrointestinal microbiome research can deliver critical clinical and therapeutic development. It also suggested future progress dependent on effective links between sequencing approaches, computational analyses, and experimental assays.
- In July 2021, Seres Therapeutics entered into an agreement with Nestlé Health Science to jointly commercialize SER-109, Seres' investigational oral microbiome therapeutic for recurrent *Clostridioides difficile* infection (CDI) in the United States and Canada.

TABLE 72 MICROBIOME SEQUENCING SERVICES MARKET FOR PHARMACEUTICAL AND BIOTECHNOLOGY COMPANIES, BY REGION, 2021–2028 (USD MILLION)

Region	2021	2022	2023	2024	2025	2026	2027	2028	CAGR (2023–2028)
North America	40.30	45.71	51.82	58.80	66.77	76.09	87.02	99.94	14.0%
Europe	21.68	24.91	28.62	32.90	37.85	43.70	50.62	58.90	15.5%
Asia Pacific	5.92	7.03	8.33	9.86	11.68	13.87	16.52	19.74	18.8%
Latin America	1.34	1.51	1.71	1.92	2.16	2.44	2.76	3.13	12.9%
Middle East and Africa	0.93	1.04	1.15	1.28	1.43	1.59	1.77	1.97	11.3%
Total	70.17	80.20	91.62	104.76	119.89	137.69	158.69	183.68	14.9%

Source: National Human Genome Research Institute (NHGRI), National Center for Biotechnology Information (NCBI), Genomics Research and Development Initiative (GRDI), UK Research and Innovation (UKRI), Microbiome Foundation, Centre for Genomic Regulation (CRG), Human MetaGenome Consortium Japan (HMGJ), Microbiome Research Centre (MRC), Center of Innovation in Personalized Medicine (CIPM), Department of Biotechnology (GENOME India and Microbiome), South African Society for Human Genetics, Food and Drug Administration (FDA), Annual Reports, SEC Filings, Investor Presentations, and MarketsandMarkets Analysis

TABLE 73 NORTH AMERICA: MICROBIOME SEQUENCING SERVICES MARKET FOR PHARMACEUTICAL AND BIOTECHNOLOGY COMPANIES, BY COUNTRY, 2021–2028 (USD MILLION)

Country	2021	2022	2023	2024	2025	2026	2027	2028	CAGR (2023–2028)
US	36.53	41.46	47.03	53.40	60.69	69.20	79.19	91.01	14.1%
Canada	3.77	4.25	4.79	5.39	6.09	6.89	7.83	8.93	13.3%
Total	40.30	45.71	51.82	58.80	66.77	76.09	87.02	99.94	14.0%

Source: National Human Genome Research Institute (NHGRI), National Center for Biotechnology Information (NCBI), Genomics Research and Development Initiative (GRDI), UK Research and Innovation (UKRI), Microbiome Foundation, Centre for Genomic Regulation (CRG), Human MetaGenome Consortium Japan (HMGJ), Microbiome Research Centre (MRC), Center of Innovation in Personalized Medicine (CIPM), Department of Biotechnology (GENOME India and Microbiome), South African Society for Human Genetics, Food and Drug Administration (FDA), Annual Reports, SEC Filings, Investor Presentations, and MarketsandMarkets Analysis